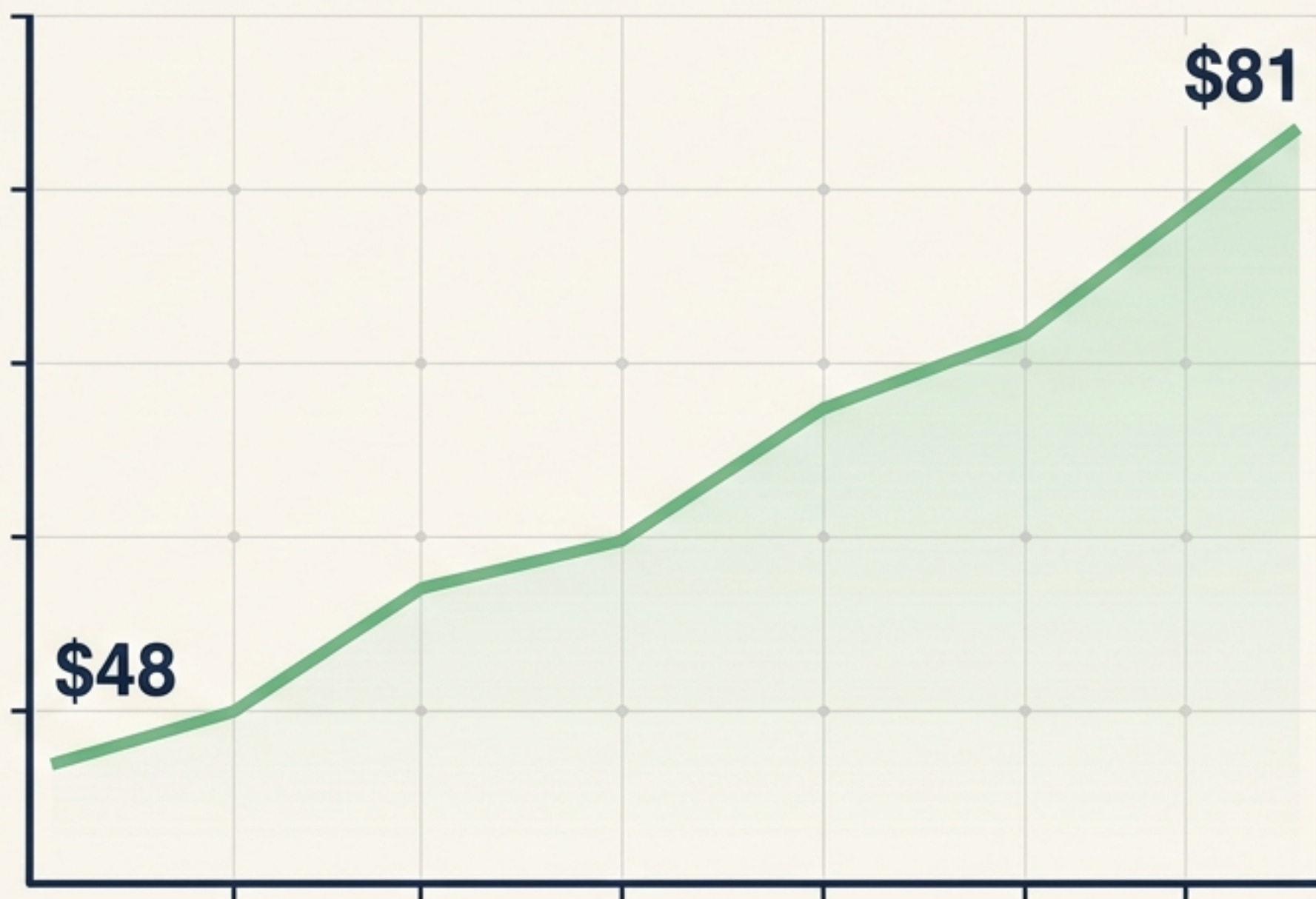


The Stock Kept Rising After I Sold It

The Mind Against the Market:
Unmasking the Disposition Effect



Why the human brain is hardwired to sabotage its own best investments.



Entry: \$48 (500 shares)

Exit: \$81

Realized Profit:
+69% (\$16,500)

Felt like the smartest
guy in the room.

On paper, it was a textbook success story. Lower taxes, locked-in profits, zero greed. But the real story was far more expensive.



The market did not betray him. His own brain did.

Selling Winners Too Early

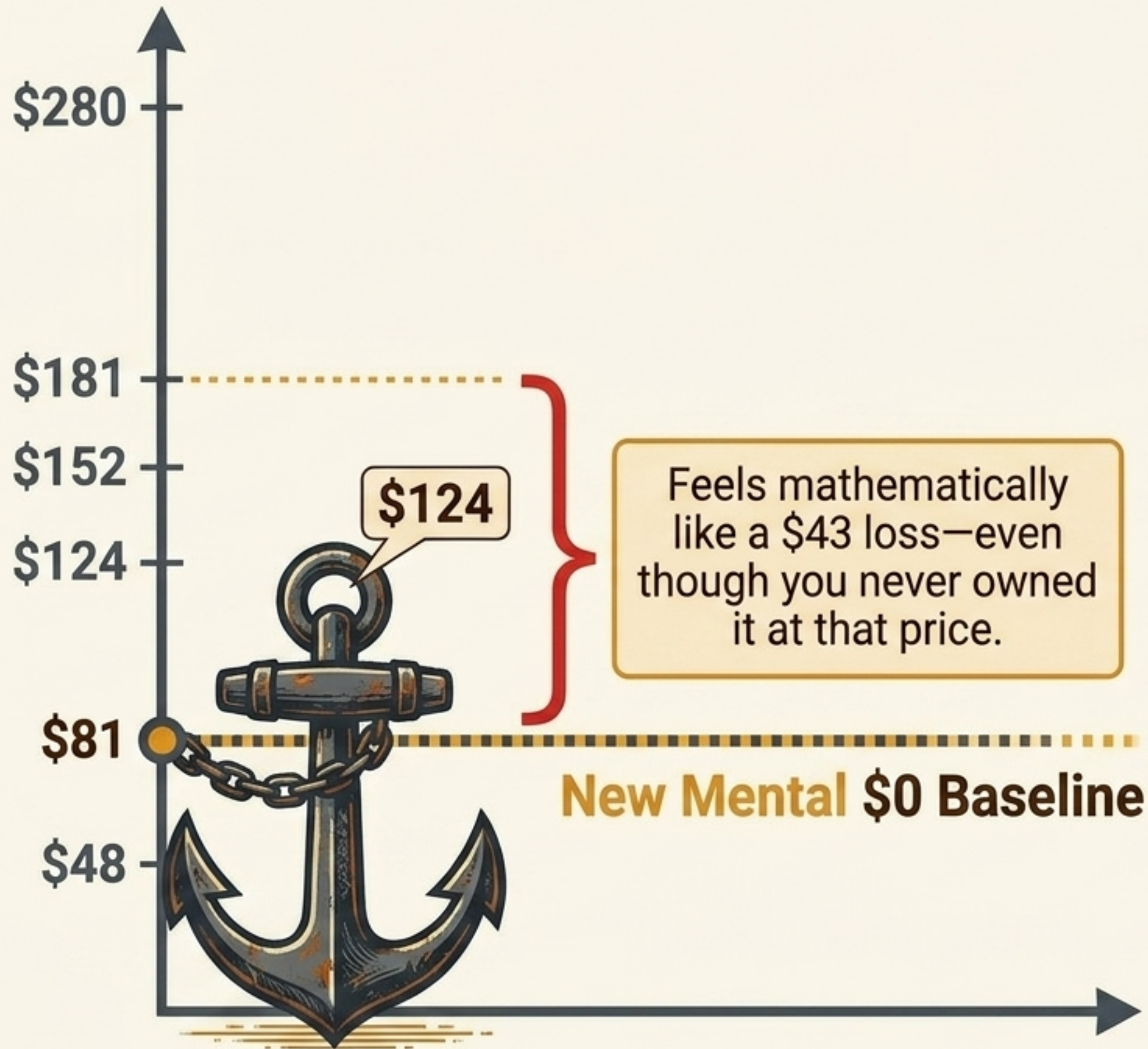
Driven by the desperate need to feel the emotional high of being right and locking in safety.

The Disposition Effect

One of the most powerful and well-documented psychological traps in modern finance.

Riding Losers Too Long

Driven by the desperate hope they will rebound, avoiding the pain of admitting defeat.



The Reference Price Trap

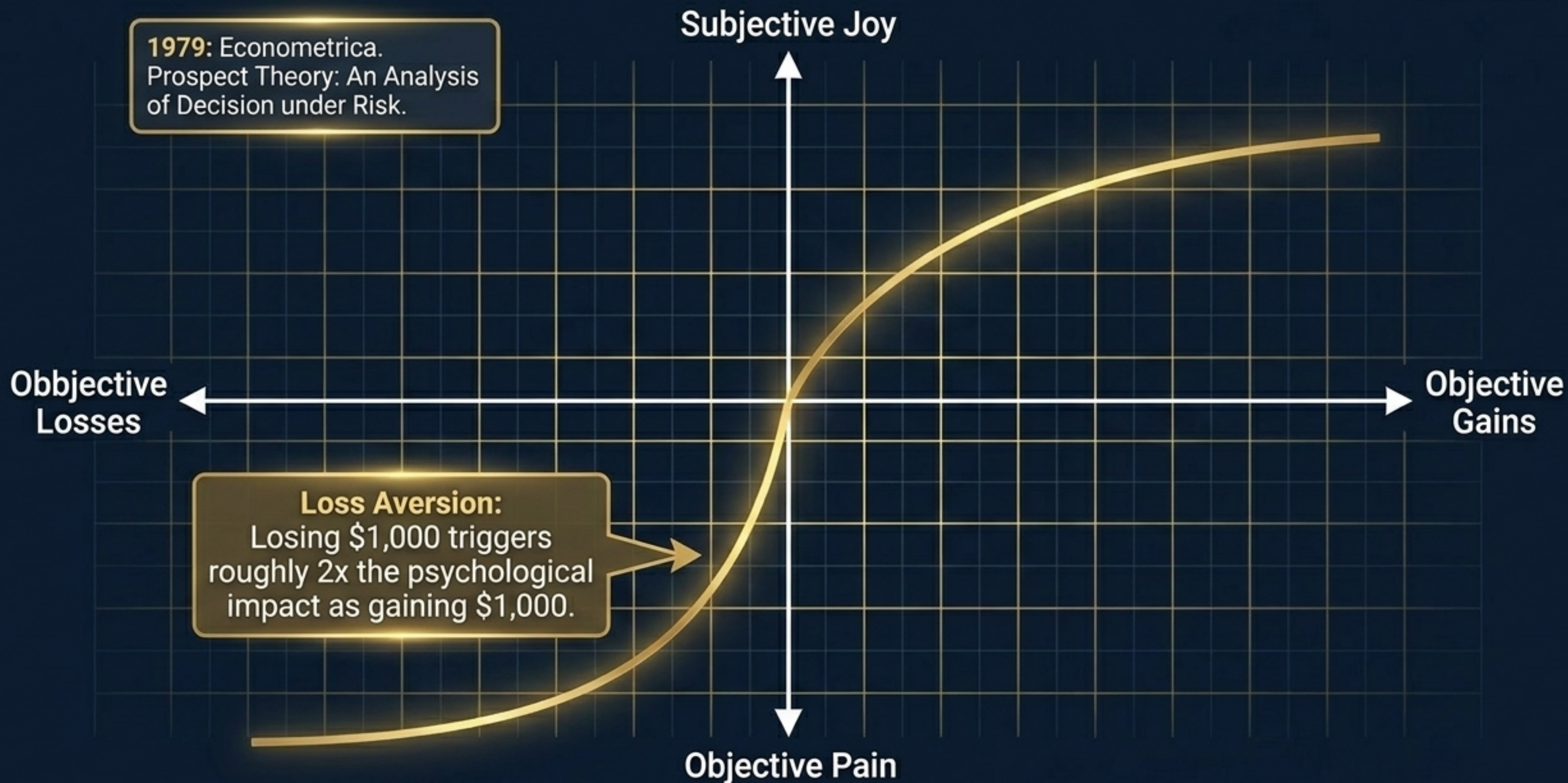
Once you sell, the brain quietly resets the stock's reference price to the exit level.

Identity Anchoring

Investors don't just anchor to prices; they anchor to identities.

Buying back means admitting your perfect exit was actually a mistake.

1979: Econometrica.
Prospect Theory: An Analysis
of Decision under Risk.



We don't evaluate total wealth. We evaluate gains and losses relative to a mental safe point.
Evolution wired us to treat monetary loss like a physical threat.

The Odean Study (1998)

Analysis of 10,000 brokerage accounts.

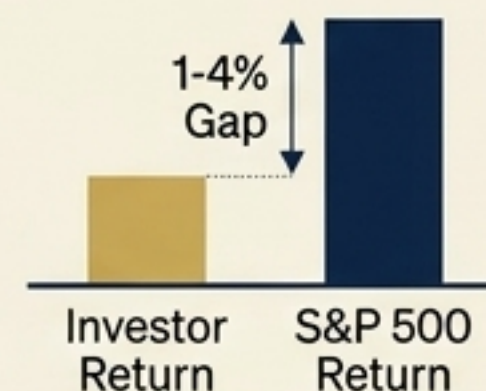
Investors systematically **sell winners** at higher rates than losers, despite tax incentives to do the opposite. 

The sold winners mathematically go on to **outperform the kept losers.** 

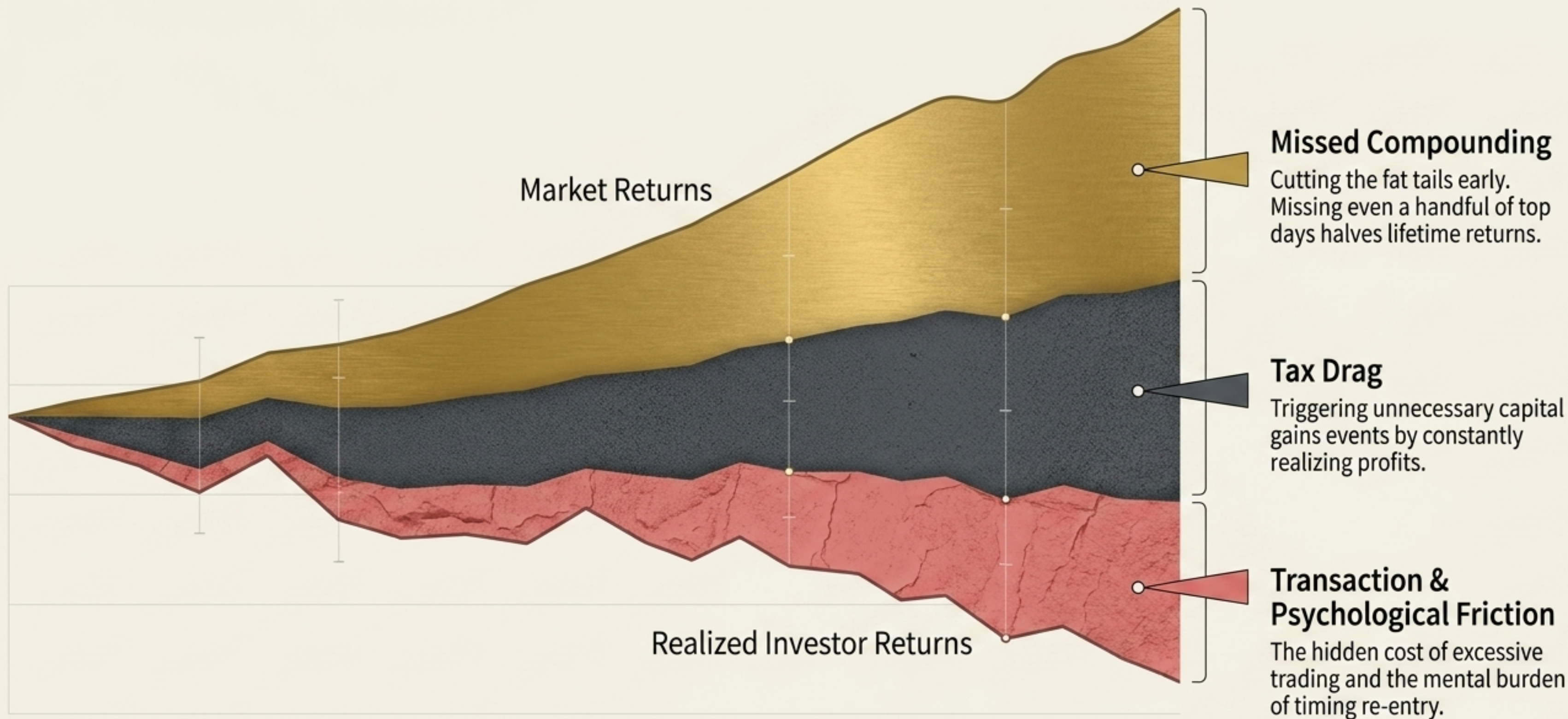
DALBAR QAIB Report (2024)

40-year tracking of investor behavior.

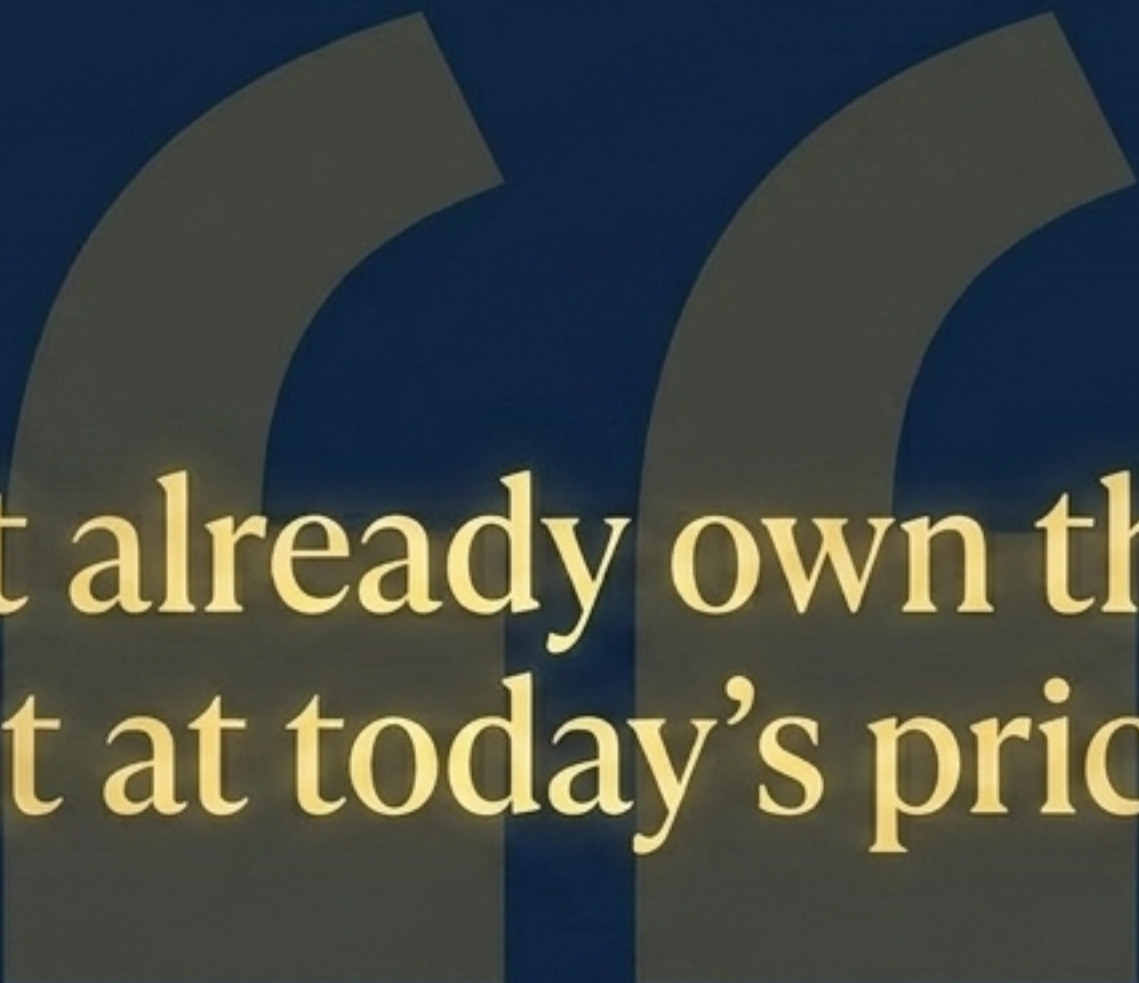
The average equity investor **underperforms** the S&P 500 **by 1% to 4% annually** due to behavioral gaps.



**This isn't just a missed opportunity.
It is a systemic, measurable destruction of wealth.**



Over an investing career, selling big winners to lock in gains turns a comfortable retirement into a stressful one.



If I didn't already own this stock,
would I buy it at today's price right now?

If the honest answer is yes, selling is driven by emotion, not analysis.

	The Emotional Mind	The Mechanical Mind
The Anchor Point	Original Cost Basis	Future Expected Returns
Exit Strategy	All-or-nothing (binary selling)	Scaled and rule-based
Primary Driver	Loss Aversion (avoiding pain)	Mathematics and Risk/Reward
View of Winners	Take the profit before it's gone.	Let the winners compound.

1

Cold Fundamental Re-evaluation

Pretend you are starting fresh today. Has the story, competitive advantage, or growth outlook actually changed?

2

Erase Cost Basis

Your original purchase price no longer matters to the market. Focus entirely on future expected returns versus risk.

3

Let the Math Decide

Pre-build strict trailing-stop rules or rebalancing triggers. Execute with zero overrides.

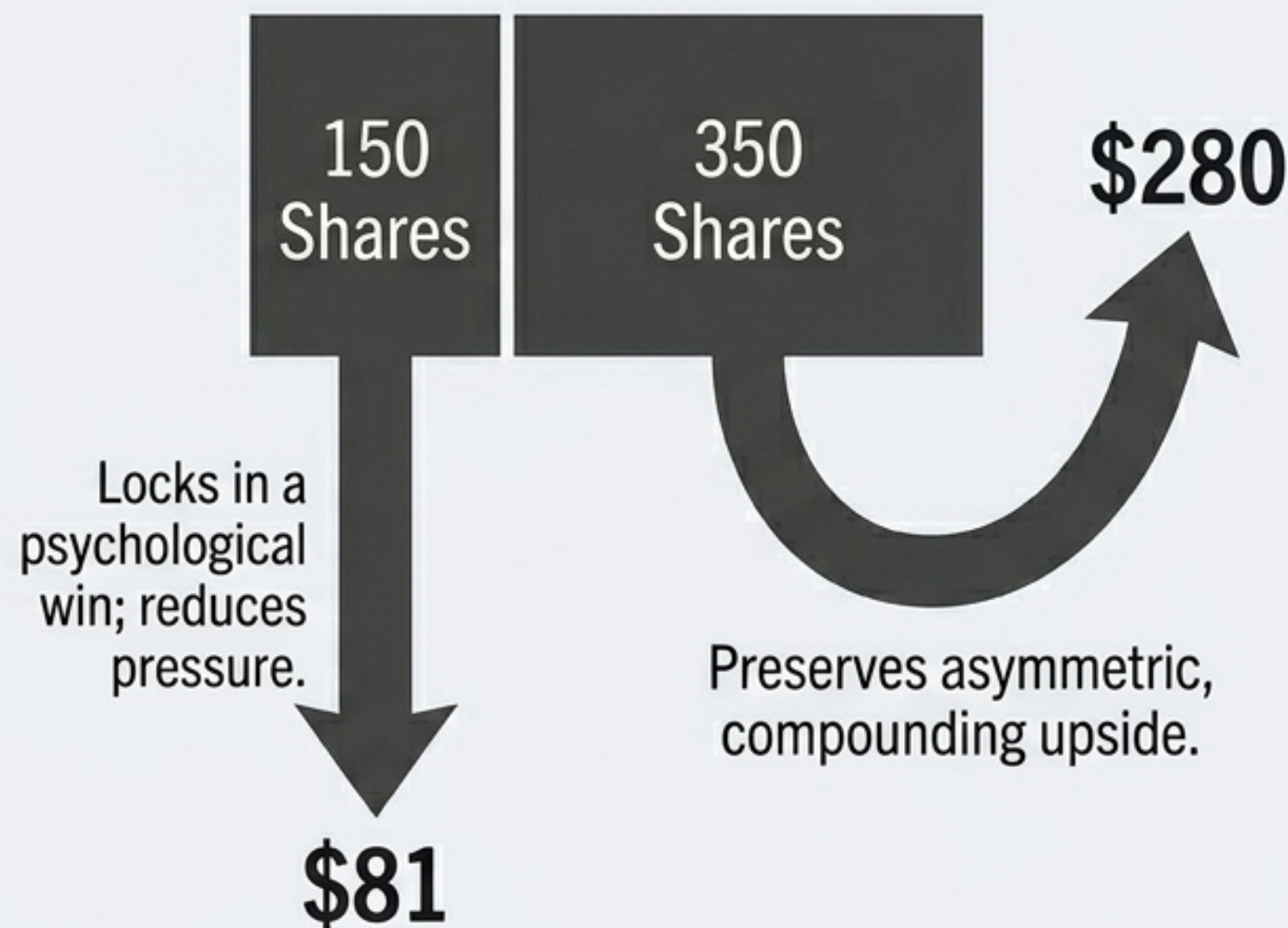
A mechanical system removes emotion from the equation before the trade is ever placed.

The Binary Trap



Result: 100% emotional regret
as the stock rises to \$280.
Mathematical upside terminated.

The Tactical Fix: Scaling Out



You don't have to choose between greed and fear.
Scaling out secures capital while letting winners run.



EARLY
SELLING
CEILING.

The greatest edge any investor can
have is not better information, faster
algorithms, or deeper research.
It is better self-awareness.

COMPOUNDING
UPSIDE

The pain of regret is almost always more expensive than the temporary discomfort of staying invested in a company you still believe in.

References

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Odean, T. (1998). Are Investors Reluctant to Realize Their Losses? *The Journal of Finance*.

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Founder of OTS Ullu.
Exploring behavioral finance and the invisible forces that destroy portfolios.

Disclosures

Educational purposes only.

Not financial, investment, legal, or tax advice.

Past performance is not indicative of future results.

AI-assisted conceptualization used in platform imagery.